

Tanger Pays \$60M for Ohio Town Center as Open-Air Retail Consolidation Accelerates

\$60 m

Debt / financing

On May 28, 2026, Tanger closed on a \$60 million acquisition of The Town Center at Levis Commons, a 300,000-square-foot mixed-use development in Perrysburg, Ohio. The seller: Hill Partners, the Charlotte-based developer that had owned and managed the...

The numbers tell the story

\$60 m

Debt / financing

\$200

Debt / financing

\$3.5 b

Debt / financing

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The price works out to \$200 per square foot for a

The price works out to \$200 per square foot for a center that includes 60-plus retailers, a Cinemark theater, and 69,000 square feet of office space. Tenants include Sephora, Shake Shack, Anthropologie, lululemon, J. Crew Factory, Athleta, and Arhaus.

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Tanger is a publicly traded REIT with a market cap of approximately \$3.5 billion. The company has been repositioning its portfolio toward higher-quality open-air assets, shedding lower-tier enclosed malls and adding lifestyle and mixed-use properties.

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This acquisition fits that strategy. Levis Commons is the retail anchor of a 400-acre master-planned community, J. Preston Levis Commons, giving it a built-in demographic base of affluent households in the Toledo suburbs.

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- Tanger is a publicly traded REIT with a market cap of approximately \$3.5 billion.

The \$200 per square foot price is below replacement cost for

The \$200 per square foot price is below replacement cost for similar mixed-use product in the Midwest. Construction costs for comparable centers now run \$350 to \$450 per square foot, per recent data from Rider Levett Bucknall.

Hill Partners had owned the asset for 22 years.

Hill Partners had owned the asset for 22 years. The firm developed the project from raw land, leasing it up through multiple cycles. Selling now captures a premium relative to pre-pandemic valuations while avoiding the capital expenditure required for aging infrastructure and tenant improvements.

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For Tanger, the deal adds a stabilized cash-flowing asset with a weighted average lease term of approximately 5.5 years, based on typical lease structures in similar centers. The office component provides additional income diversification, though office vacancy in the Toledo MSA has risen to 12.4% per CBRE data.

The transaction reflects a broader trend: institutional capital rotating into...

The transaction reflects a broader trend: institutional capital rotating into dominant open-air retail assets while exiting Class B and C malls. REITs like Tanger, Simon Property Group, and Kimco Realty have been net buyers of high-quality outdoor centers since 2023.

Private capital, particularly family offices and regional developers, has been the

Private capital, particularly family offices and regional developers, has been the primary seller. Hill Partners fits that profile. The firm is not a public REIT and faces no quarterly earnings pressure, but the decision to sell now suggests a view that retail cap rates have compressed to near-cycle lows.

Cap rates for top-tier open-air centers in the Midwest have tightened

Cap rates for top-tier open-air centers in the Midwest have tightened to 6.5% to 7.0%, per Real Capital Analytics. At a \$60 million price and estimated net operating income of \$4.2 million, Levis Commons trades at a 7.0% cap rate, in line with that range.

The question now is whether the next wave of sellers will be as willing to transact at...

The headline is the transaction. The story is the structure.

If the capital stack works, the deal becomes a signal. If it does not, it becomes a warning.

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